

REVIEW ESSAY

Does Economic Nationalism Have a Philosophy?

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Marvin Suesse, *The Nationalist Dilemma: A Global History of Economic Nationalism, 1776–Present* (Cambridge and New York: Cambridge University Press, 2023)

Eric Helleiner, *The Neomercantilists: A Global Intellectual History* (Ithaca: Cornell University Press, 2021)

Compared to the once-brilliant promise of globalization, today's economic nationalisms appear bereft of intellectual appeal. Globalization offered free trade and unshackled investment to market liberals and the forces of capital. Yet it also offered something attractive to progressives: a vision of world citizenship beyond ethnos and nation.¹ So powerful was the allure of cosmopolitan convergence that it was often declared not only desirable but inevitable: “Stay global,” Barack Obama advised graduates in 2006. “It’s here, and it’s not going away.”² In contrast, the rising politics of economic nationalism—manifest in tariffs and industrial policies, migration controls and strategic resource management—reassert boundaries, violate economic principles once thought unimpeachable, and lean too heavily on populist sentiment to inspire intellectual engagement. The ideology of globalization drew unmistakably from the long lineage of liberal enlightenment. Do the ideological roots of economic nationalism draw from similar depths—or is it merely a newish blend of realpolitik, reaction, and right-wing mysticism?

Liberal aversion to nationalism has a history. It is worth recalling that liberalism and nationalism were once close siblings, twin progeny of the antiaristocratic revolutions of the eighteenth and nineteenth centuries. Their decisive split dates to the twentieth century. Taking their lessons from the interwar period, liberals came to describe nationalism as a pathology of modernity, a reactionary tendency perpetually in danger of lapsing into fascism. By the 1980s it was customary to argue that nations were socially

¹Gary Gerstle, *The Rise and Fall of the Neoliberal Order: America and the World in the Free Market Era* (Oxford, 2022); Nancy Fraser, *The Old Is Dying and the New Cannot Be Born: From Progressive Neoliberalism to Trump and Beyond* (New York, 2019).

²See <http://obamaspeeches.com/074-University-of-Massachusetts-at-Boston-Commencement-Address-Obama-Speech.htm> (accessed 17 April 2025).

constructed, an approach that more or less openly denied that nationalism had genuine political content. Nations, as Benedict Anderson famously captured the zeitgeist, were “imagined communities,” and scholars should treat nationalism like religion—that is, by analyzing its social and political effects without taking seriously its fanciful claims.³ The New Left decried nationalism for glossing over class conflict and peddling an ersatz politics of symbolic satisfaction. Nationalists, as the Marxist historian Eric Hobsbawm put it, hawked “invented traditions”—something concocted by bourgeois intellectuals to distract the insurrectionary instincts of the masses.⁴ Eventually, the nationalisms of the Third World, once celebrated for their liberatory ambitions, came under scrutiny. Subaltern critics wondered, was nationalism a Trojan horse left behind when the West packed up empire’s tents? Postcolonial leaders, in their zeal for state building and modernization, seemed simply to carry on the leveling of life-worlds that had begun under colonialism.⁵

Twentieth-century critics held nationalism to be not only politically pernicious but also intellectually shallow, a doctrine for charlatans and second-rate thinkers. Political and intellectual dismissal merged. While nationalism was without doubt an immense historical force, Anderson mused, this stood in curious tension to its “philosophical poverty.” Unlike liberalism and socialism, the two great modern creeds, nationalism did not possess a pantheon of theorists; it had produced “no Hobbesses, Tocquevilles, Marxes, or Webers.”⁶ Ernest Gellner, next to Anderson the most widely read twentieth-century scholar of nationalism, thought little of nationalists; he considered “their precise doctrines hardly worth analyzing” and held that “we shall not learn too much about nationalism from the study of its own prophets.”⁷ Hobsbawm acknowledged “disliking, distrusting, disapproving and fearing nationalism wherever it exists.”⁸ Among the few dissenters was the Ukrainian American historian Roman Szporluk, who in the era of high social constructivism asked, was it really true that nationalists were incapable of offering “original insights”—insights, that is, that “have eluded” liberals and socialists?⁹

Two recent books give occasion to take up Szporluk’s question. The political scientist Eric Helleiner reconstructs the intellectual history of what he calls “neomercantilism”—ideas about protectionism and other state-led economic strategies between Napoleon and World War II. Marvin Suesse, an economist, presents a sweeping global history of economic nationalism since the Age of Revolutions. Both books assemble a remarkable cast of political entrepreneurs and statesmen, anticolonial critics, heterodox economists, and various ideological interlopers. Familiar characters—the

³Benedict Anderson, *Imagined Communities: Reflections on the Origins and Spread of Nationalism* (New York, 1983).

⁴Eric Hobsbawm and Terence Ranger (eds.), *The Invention of Tradition* (Cambridge, 1983).

⁵Partha Chatterjee, *Nationalist Thought and the Colonial World: A Derivative Discourse* (Minneapolis, 1986).

⁶Anderson, *Imagined Communities*, 5.

⁷Ernest Gellner, *Nations and Nationalisms* (Ithaca, 1983), 124–5.

⁸Eric Hobsbawm, *On Nationalism* (London, 2021), vii.

⁹Roman Szporluk, *Communism and Nationalism: Karl Marx versus Friedrich List* (New York and Oxford, 1988), 80.

likes of Alexander Hamilton, Friedrich List, Marcus Garvey, Deng Xiaoping—appear freshly contextualized, put in conversation across decades and national projects. They are joined by scores of figures that only specialists will recognize, such as the nineteenth-century Bolivian populist Manuel Isidoro Belzu or the Romanian protectionist Alexandru Xenopol.

Together, the books impart one central insight: economic nationalism has been ubiquitous. An entire history of the modern world economy becomes visible from the vantage point of nationalist politics. The story begins with Britain's Industrial Revolution, in response to which neomercantilists in France, Germany, and the United States demanded tariffs and factories. Qing advisers responded to China's defeat in the Opium Wars by arguing that commerce and navies must go together. Egypt pioneered a type of development dictatorship under Muhammad Ali (1805–48), who pushed textile industrialization and military build-up. Unshackled from Spanish rule, Mexico founded a development bank and banished foreign cloth from its ports.

By the late nineteenth century, empire and globalization had created a world of steep development divides, and economic nationalists sought to level the field. When American black ships sailed into Tokyo harbor and humiliated the shogun, the Meiji revolutionaries overthrew him and launched an industrialization drive. Chinese nationalists like Liang Qichao and Sun Yat-sen argued that foreign companies required state supervision. The Indian National Congress demanded tariffs and monetary sovereignty. Argentine neomercantilists like Vicente Fidel López and Alejandro Bunge insisted that their country needed a national industry. Bismarck defeated France and unified Germany, then nationalized the railroads and raised tariffs. In West Africa, the Asante subjected trade to state oversight to fend off the British. To what extent these projects succeeded depended on both domestic and global power balances. Muhammad Ali's armies and China's navies were crushed by the British. In the United States, it took a Civil War to settle the matter in favor of tariffs and industrialization.

In the twentieth century, economic nationalism acted as a solvent of received imperial orders. Suesse makes an interesting case that economic differences, hardened along ethnic lines, undermined the great landed empires. Poles in Austrian Galicia formed work cooperatives; Romanians in Hungary founded a credit institute. Years before World War I blew up the Hapsburg monarchy, Suesse writes, "national Polish, Czech, Hungarian, and Romanian economies" had emerged in Central Europe (94). After World War II the periphery became assertive. Perón's Argentina nationalized the British-owned railroads; Nasser's Egypt sequestered the Suez Canal. Independent African nations tried Soviet-style industrialization. Developmental states in Japan, South Korea, and Taiwan fostered export industries.

One of Suesse's more provocative arguments in light of our present moment is that neoliberal globalization hardly put an end to economic nationalism. Mercantilism has never left, it simply changed gear. In the 1970s and 1980s, as leaders in the global South sought to reform ailing state economies, many adopted the language of liberalization. But far from espousing the Washington Consensus on grounds of principle, Suesse suggests, "nationalists adapted and leveraged 'liberal' economic policy" (224) to their ends. Perhaps the most momentous example of this kind of strategy was China's accession to

the World Trade Organization in 2001, which opened the West's consumer markets to China's exports but whose domestic stipulations Beijing treated with increasing insouciance. Economic nationalism emerges as a kind of political default of modern state politics, capable of adapting to changing geopolitical forces and shifting ideological fancies.

The book's second big insight follows from the first: economic nationalism is, in fact, a cosmopolitan tradition. Because modern mercantilists take the hierarchies of the world economy to be the defining political problem, they have not been inward-looking or parochial but obsessed with world relations. Nationalists hail from where uneven development has made itself felt, which is all over the world, and they recognize underdevelopment as a shared predicament. The German protectionist Friedrich List illustrates this. A lifelong exile, List spent years in France and the United States, during a time when each nation confronted the overweening commercial and industrial power of Britain. List wrote his first major tract to intervene in the American tariff debates of 1827. In France, he contributed a defense of tariffs in 1837. His main work, the 1841 *National System of Political Economy*, built on these precedents. It was read well into the twentieth century by mercantilists in Russia, Japan, Ottoman Turkey, Latin America, India, Ireland, and China.

In an exquisite finding, Helleiner documents that the popularity of the American protectionist Henry Carey, a first-generation Republican, rivaled and possibly exceeded that of List among nationalists of the nineteenth and early twentieth centuries. Carey's writings, which stress technological progress and a harmonious balance between industry and agriculture, reached Japan, Germany, Canada, Australia, India, and Ethiopia. Yes, Ethiopia: Gabrahiwot Baykadagn, an adviser to Emperor Menelik II (1889–1913), based his tract *State and Economy* on a free reading of Carey.¹⁰ List and Carey enjoyed a broad and decades-long readership among neomercantilists precisely because Germany and the United States eventually succeeded in challenging British economic hegemony. There was also a strong East Asian neomercantilist circuit, in which Chinese nationalists and Korean reformers debated the tracts of Meiji officials and vice versa. But their vantage, too, was global. The Meiji savant Fukuzawa Yukichi drew lessons from Ottoman Turkey, Sun Yat-sen commented on Gandhi, South Korea's Park Chung-Hee cited the exploits of Nasser in Egypt.

Neither author explicitly asks how these findings impinge on the nationalism literature that has flourished since Benedict Anderson.¹¹ But there is a third lesson here. For the longest time scholars of nationalism have stressed cultural production as the quintessential activity of nationalists. Nations were created—"imagined" and "invented"—through assiduous discursive work: nationalists standardized languages, collected folklore and fairy tales, fabricated mythic histories dating the people's origins to the dawn of time. Their weapons were the printing press, the grammar, the history

¹⁰ Gabrahiwot Baykadagn, *State and Economy of Early Twentieth-Century Ethiopia* (1924), trans. Tenkir Bongor (Woodridge, 1995). See Zinabu Samaro Rekiso, "Economics of Late Development and Industrialization: Putting Gebrehiwot Baykedagn (1886–1919) in Context," *Cambridge Journal of Economics* 43/1 (2019), 223–48.

¹¹ For reflections on the state of the field see Cemil Aydin, Grace Ballor, Sebastian Conrad *et al.*, "Rethinking Nationalism," *American Historical Review* 127/1 (2022), 311–72.

book, the national anthem. Nations required a mass basis, and the way to create it was by instilling cultural and ethnic identities. The panorama offered by Helleiner and Suesse suggests that much is missing from these accounts, and that economic activity has been instrumental to nation-building in ways we have yet to understand. The figures populating these books sought to build nations with economic tools—the canal, the tariff, the national bank, the tax, the factory. List extolled German culture as a common heritage, but unification to him was primarily an economic process: what would fuse “the German peoples into one great and cultured, wealthy, powerful, and inviolable nation” was a railroad and a customs union.¹²

The strength of these books is their extraordinary breadth. By my count seventy-four different neomercantilists receive at least a paragraph from Helleiner, though many more are mentioned. Suesse has seemingly read his way across the entire chronicle of economic nationalism, consulting everything from Johann Gottlieb Fichte’s *Closed Commercial State* to the *UKIP Manifesto*. The result is eye-opening. But it is also puzzling: what to do with this encyclopedic record? What, indeed, are we to make of a tradition that includes, if Suesse can be believed, unsteady liberals like Max Weber and John Maynard Keynes, anti-imperial heroes like Kwame Nkrumah and Juan Perón, fascists and Zionists, left populists like Evo Morales and right populists like Donald Trump? Both authors offer disclaimers: Helleiner assures us that he feels “no particular affinity” to neomercantilist thought and does not intend “to promote any of the ideas discussed in this book” (28). Suesse notes gingerly that he is dealing with ideas “that some might find academically irrelevant” or that may be “objectionable on moral grounds” (9). As a result, an air of formality pervades the books. Helleiner arranges his neomercantilists according to their “policies and goals,” which he proceeds to present with genteel impartiality. Suesse seems torn between the author’s duty to engage with his nationalists’ ideas and the economist’s need to find them implausible. On the question whether nationalist policies can be credited with rectifying underdevelopment, Suesse shrugs: “Some countries with strong nationalist movements, such as Japan, grew quickly; others, such as India, did not” (9). Economic nationalism deserves study, the authors maintain, because, for better or worse, it has regained popularity today. “While many regret its presence, economic nationalism is here to stay,” says Suesse (328). In an increasingly nationalist world, Helleiner offers, “scholars need to be ready intellectually” (357).

But this seems unsuitably coy in the face of a tradition that, as the authors themselves reveal, claims omnipresence across modern time and geography. What accounts for economic nationalism’s staying power, its ubiquity and influence? To follow Szporluk: is there something about the modern world that nationalists have understood better than their ideological opponents? The resurgence of mercantilist politics today gives these questions some bite. Answering them, however, would involve bringing a sincere curiosity to the normative and intellectual resources that nationalists have marshaled. It would require moving from discussions of policy to asking about political theory.

¹²Quoted in Szporluk, *Communism and Nationalism*, 112.

Consider four nationalists that feature prominently in both books: the German Friedrich List, the American Henry Carey, the Indian Mahadev Govind Ranade, and the Chinese Sun Yat-sen. On what intellectual foundations did they raise their nation-building projects? List's 1841 tract *The National System of Political Economy*—"without doubt the most influential work in the economic nationalist tradition" (Suesse, 60)—is a self-consciously theoretical book. List built his case for German industrialization on a critique of the free-trade doctrines of Adam Smith and his followers—what List nippingly called "the school." Since the school proceeded from individualist and materialist foundations, List argued, it ignored the social and political associations that made economic life possible and gave it purpose. British economists, List said, could conceive of people as "mere producers and consumers, not citizens of states or members of nations."¹³ A nation, however, was more than a collection of consumers, it had overriding goals. The most important of these was developing what List called *Produktivkräfte*—a term usually translated as "productive powers" or "productive forces," though "capacities" or "capabilities" reflects better List's sense. *Produktivkräfte* comprised institutions and know-how: bourgeois laws and representative government, education, infrastructure, technology, and science. One might call this position a type of proto-institutionalism, an approach that asked not simply how individuals produced wealth (the school's focus on production, accumulation, and saving), but about the sociopolitical conditions that made a polity productive. Smith equated the wealth of a nation to the summed-up product of its members (and thus anticipated modern notions of GDP). According to List, this meant committing a categorical error; the relevant measure was not the arithmetic of exchangeable goods but the level of development of productive capacities. "The capacity to create wealth is infinitely more important than wealth itself," List said: buying British textiles was good, better was making the machines that make textiles.¹⁴

As Smith had proposed in the *Wealth of Nations*, a light-touch government should help commerce to unspool along a natural course of progress; Smith famously decried "statesmen and projectors" who would "disturb nature."¹⁵ List in contrast urged that economic development required sustained political artifice. Yes, rights and liberties would unleash the energies of an enterprising bourgeoisie. But these energies required guidance and channeling, and individual pursuits needed to be aligned to collective purposes. Enter the state, which would promote railroads, provide credit, foster science, attract skilled immigrants, and otherwise ensure that "the unrestricted action" of private industry "aligns with the well-being of the nation."¹⁶ These measures would accompany List's best-known proposal, a system of tariffs designed to nurture key industries such as iron and textiles.

¹³Friedrich List, *The National System of Political Economy*, trans. Sampson S. Lloyd (London, 1904), 140.

¹⁴Friedrich List, *Das Nationale System der Politischen Ökonomie*, ed. Günter Fabiunke (Berlin, 1982), 149.

¹⁵Smith cited in Szporluk, *Communism and Nationalism*, 136. On Smith's view of natural progress see Lisa Herzog, *Inventing the Market: Smith, Hegel, and Political Theory* (Oxford, 2013), Ch. 1.

¹⁶List, *National System*, 139.

Given List's itinerant life, Suesse and Helleiner rightly situate the *National System* within the transatlantic mercantilism of the post-Napoleonic period. But List's abiding concern was Germany, and in this he remained very much a product of the *Vormärz* (pre-1848) bourgeoisie. Recall that Germany in List's time was a motley quilt of thirty-nine cities, duchies, and statelets overshadowed by the absolutism of Prussia and Austria. Nationalism in this era was a creed arrayed against the Restoration of 1815. Like any number of German national liberals, List detested the stuffiness of *Kleinstaaterei* and called for constitutional rule, civil liberties, and territorial unity. It is revealing of List's milieu that the Restoration's top cop, the Austrian Count Metternich, called him "a highly dangerous demagogue" and had him surveilled.¹⁷

List's German commitments distinguish his "national system" from the protectionism that flourished in the antebellum United States. Here, tariff doctrines clustered in the mid-Atlantic states, especially Pennsylvania, whose artisans and manufacturers opposed both the free-trade doctrines of the plantation South and the patrician liberalism of northeastern merchant financiers. The leading theoretician of this "American school" of political economy was Henry Carey, a Philadelphia printer and publicist. If List wanted Germany to be like Britain, Carey attacked the geographical specialization that British industrial supremacy imposed on the world. Where plains and oceans separated the cultivation of crops from the big centers of manufacturing, Carey argued, the countryside suffered monoculture and soil depletion, technological decline, underpopulation and labor coercion. Against this pattern, which not coincidentally described the cotton-exporting South, Carey set a vision of dense settlement and balanced agro-industrial development in which urban manufacturing and intensive agriculture grew in symbiosis. This type of economic geography characterized the New York–Pennsylvania upstates of Carey's day and blossomed after the Civil War in the Midwest. Carey and the other writers of the American school today are barely heard of, but their arguments on tariffs, abolition, and regional patterns of economic development are woven thickly into the politics of the Civil War era.

Like List, Carey grounded his case in a critique of the classics. Haunted by British pauperism, Thomas Malthus and David Ricardo had offered dim predictions of overpopulation and agricultural exhaustion. Carey instead held a decidedly positive view of population growth and argued that science and settlement would continually replenish soils. This rejoinder had a modernist flavor: Land, as Carey and his collaborators liked to say, was a "great machine" only waiting for human manipulation: every river a source of energy, every tree dormant fuel, every field brimming with calorific potential. One might say that Carey opposed Ricardian pessimism with a kind of settler Republican optimism, in which human inventiveness—by way of agricultural science, industrial technology, and monetary engineering—made the potential for growth essentially limitless. The British stressed that nature imposed scarcity; the Americans replied that nature, subjected to cooperative human labor, could yield abundance. In the words of its chief chronicler Michael Hudson, the American school's core distinction was

¹⁷ Metternich quoted in Eugen Wendler, *Friedrich List (1789–1846): A Visionary Economist with Social Responsibility* (Berlin, 2015), 140.

that it regarded “technological and institutional innovation as the motive force of economic growth, in contrast to private gains as in laissez-faire doctrine.”¹⁸ To be sure, in Carey this could take on a fanciful streak that wished away sectional antagonism and labor conflict. “Natural order” and “harmony of interests” were keywords of Carey’s, and unlike List he expressed admiration for Adam Smith’s system of liberties. If List’s advocacy for import duties was pragmatic, “protection” for Carey took on almost metaphysical significance: tariffs would not only support industry but insulate the American republic from the corruption of European imperialism.¹⁹

List combined bourgeois enterprise, constitutional rule, and an activist state in a national-liberal vision of development. Carey’s emphasis on human ingenuity and cooperation reflected the imprint of American republicanism. Each pursued a nation-building project: List sketched a path to German unification; Carey sought a federal republic that had overcome sectional conflict and achieved economic independence from Britain. Focused on policy positions, neither Suesse nor Helleiner quite register these distinctions in political theory. Suesse thinks that List gave a willfully misleading rendition of Smith to shore up his “focus on practical policy” (62). Carey’s program Suesse calls “staunchly isolationist” (37), a formulation that empties the notion of “protection” of the quasi-metaphysical surfeit it held for the American (and also fails to capture his promotion of skilled immigration). Helleiner says Carey held “conservative political values” (155) and harbored a paternalist sensitivity to domestic inequalities. But Carey’s “harmony of interests” was less a distributional proposition than an organizing concept in his naturalist theory of development.

Mahadev Govind Ranade (1842–1901) was a justice of the Bombay High Court and co-founder of the Indian National Congress. Like List and Carey, whom he read, Ranade derived his economic nationalism from criticizing the classics. Like all Indian civic elites of his time, Ranade was fully versed in the British canon; he instructed pupils on Smith, Ricardo, and John Stuart Mill even as he formulated a critique of this lineage under the heading “Indian political economy.” Ranade’s main argument against the classics was that axioms based on individual pursuit and laissez-faire failed to explain the realities of the late nineteenth century. He pointed out that governments from the United States to Europe to Japan were using tariffs and subsidies to support industrial growth and that even in Britain free trade was no longer an unquestioned dogma. Ranade cited mercantilists from France, Italy, and Germany to distill the tenets of what he called “modern” economic thought: the political collective had replaced the individual at the center of analysis, states assumed an active and coordinating role,

¹⁸Michael Hudson, “E. Peshine Smith: A Study in Protectionist Growth Theory and American Sectionalism” (unpublished Ph.D. thesis, New York University, 1968), 60. See also Hudson, *America’s Protectionist Takeoff, 1815–1914: The Neglected American School of Political Economy* (Baskerville, 2010).

¹⁹Matteo Rossi, “The Obstacles to Capital: Henry Carey’s Political Economy in 19th-Century U.S. History” (unpublished Ph.D. thesis, Università di Torino, 2022). On Carey’s “Republican developmental synthesis” see Ariel Ron, *Grassroots Leviathan: Agricultural Reform and the Rural North in the Slaveholding Republic* (Baltimore, 2020), Ch. 4.

and universal laws made way for a principled relativism that stressed the time- and place-bound nature of economic life.²⁰

Ranade's critique skewered a central contradiction of the Raj, whose officials preached laissez-faire even as they aggressively reengineered India's economy in service of the empire. After the Rebellion of 1857, the colonial government declared all uncultivated land state property and financed the ports, railroads, and telegraph lines that connected agricultural hinterlands to overseas markets. To fund these investments, the Raj borrowed in Britain and taxed Indian peasants. By the turn of the twentieth century, India was exporting unprecedented amounts of tea, grain, raw cotton, and jute, and used the proceeds to purchase British goods and pay British debts.²¹ Of course, as Ranade pointed out, state economic activism was everywhere de rigueur. But while Germany, Japan, the United States, and France bolstered their national economies, the British used the state precisely to prevent any such efforts in India.

The British touted infrastructure and exports as evidence of steady "moral and material progress."²² Indian nationalists pointed to deindustrialization, crop monoculture, and famine. "India, fifty years ago," Ranade said, "clothed herself with her own manufactures, and now she is clothed by her distant masters."²³ Anticipating world-systems theories of the second half of the twentieth century, Ranade charged that the British had created in India a "dependent colonial economy": one that exported raw materials and imported manufactures, was indebted to the metropole, and had no sovereignty to manage its own economic affairs.²⁴ Nationalists countered this reality with a program that involved protective tariffs, state sponsorship of industry, and fiscal and monetary autonomy. Putting these demands into practice would have strained the limits of imperial rule. Hence Ranade's arguments prepared the calls for political independence that strengthened after 1900. "What shall we do the moment we have *swaraj* [self-rule]?" asked a fellow nationalist. "We shall impose a heavy prohibitive protective tariff upon every inch of textile fabric that comes from Manchester."²⁵

To Ranade, however, economic nationalism was only one part of a broader vision of civilizational recovery grounded in Hindu social reform. This vision stressed educating the young, reforming social and religious practices, attenuating caste hierarchies, and forging bonds across the clefts of India's regions and religions. To Ranade, there was no purely economic problem; the state should act as both a social and an economic steward, it should intervene in child marriage as much as in industry promotion. In this regard British rule had dialectical effects: it was but the latest in an ancient chain of foreign conquests—from Alexander to the Mamluks and Mughals—that both humbled and, at length, enriched India. Regeneration required breaking from the empire but also absorbing British stimuli. In the process India would move "from constraint to

²⁰ Mahadev Govind Ranade, "Indian Political Economy," in Ranade, *Essays on Indian Economics: A Collection of Essays and Speeches* (Bombay, 1900), 1–39. On Ranade see Maria Bach, *Relocating Development Economics: The First Generation of Modern Indian Economists* (Cambridge, 2024).

²¹ Manu Goswami, *Producing India: From Colonial Economy to National Space* (Chicago, 2004), Chs. 1–2.

²² Goswami, *Producing India*, 74–5.

²³ Ranade, *Essays on Indian Economics*, 185.

²⁴ Quoted in Goswami, *Producing India*, 211.

²⁵ Quoted in *ibid.*, 274.

freedom ... from status to contract, from authority to reason ... from bigotry to toleration.”²⁶ Twentieth-century Indian nationalism had two big streams, Gandhi’s critique of Western values and Nehru’s embrace of them. Ranade stood closer to the headwaters of the latter.

To Sun Yat-sen, the founder of China’s national people’s party (Guomindang), India’s position compared favorably to China’s fate as a “hypocolony”—exploited by several foreign powers at once, none of them likely to construct durable institutions.²⁷ British rule handed Indian nationalists both a power to oppose and, eventually, a state bureaucracy to capture. This contrasted with the blotchy sovereignty and crumbling state capacity affecting the China of his time. Across the Republican Revolution of 1911, the “unequal treaties” that afforded foreign powers extraterritorial privileges in China remained in force. Sun and Ranade make for a revealing comparison. Ranade, the Brahmin judge, impeccably erudite, rooted and respected in his community, a reformer and educator of consequence. Sun, the scrappy farm boy from the southern provinces, schooled by Christian missionaries, an exile drifting across the Chinese diaspora in Asia, Europe, and North America, an adventurer with ten failed coup attempts to his record. The influential Beijing court reformer Kang Youwei dismissed Sun as an “uneducated bandit.”²⁸

Ranade, like other Indian nationalists, turned British liberalism against itself by contrasting invocations of progress to the realities of imperial rule. Sun drew much more eclectically from the intellectual trends reverberating through China—Meiji state building, neo-Confucian egalitarianism, French republicanism, American agrarian populism, social Darwinism, later Marxism and League-of-Nations-style internationalism—to craft a capacious, if unsystematic, theory of revolutionary Chinese nationalism. Sun’s “Three Principles of the People” combined a Han-centric view of national cohesion with a commitment to democratic politics and popular economic uplift.²⁹ This vision was arrayed first against Qing rule, then against Western political and economic domination—but also against the separatism brewing in the provinces. Ranade was a paternalist who regarded elites like himself as the natural appointees of national resurgence. Sun was a populist who projected a Chinese state, authorized by the people, that orchestrated social and economic modernization and achieved sovereignty vis-à-vis the West. Sun thus portended the ideology of the “People’s Republics” that proliferated across East Asia after World War II. (He remained a lodestar of Chinese nationalism. Chiang Kai-shek and Mao Zedong equally revered him. In 2021, Xi Jinping honored China’s 1911 Revolution in a major speech delivered under a gigantic portrait of Sun.³⁰)

²⁶Quoted in Maria Bach, “What Laws Determine Progress? An Indian Contribution to the Idea of Progress Based on Mahadev Ranade’s Works, 1870–1901,” *European Journal of the History of Economic Thought* 25/2 (2018), 327–56, at 342.

²⁷Marie-Claire Bergère, *Sun Yat-sen* (Stanford, 1994), 361.

²⁸Quoted in *ibid.*, 77.

²⁹Sun Yat-sen, *San Min Chu I: The Three Principles of the People*, trans. Frank Price (Shanghai, 1928).

³⁰“Xi Jinping: 1911 revolution a towering landmark in China’s national rejuvenation,” at www.youtube.com/watch?v=yndcKwopju8 (accessed 17 April 2025).

Again it is instructive to appreciate the differences in political theory and historical outlook. Ranade and Sun saw the upheavals of their times as chapters in the long history of their countries' ancient civilizations. Carey, in contrast, emphasized the novelty and future orientation of the American experiment. Ranade advocated a nationalism of enlightened elites, Sun championed the people, Carey dreamt of a republic of producer citizens. List, for all his irreverence, was by instinct a political liberal. A child of the Enlightenment, he put his *National System* under the epigraph "Et la patrie et l'humanité!" but also invoked civilizational hierarchies to deny that the nations of Asia and Africa could pursue the mercantilism he set out for Germany. Ranade naturally rejected this stricture and pointed out that, long before List, superior Indian textiles had provoked protectionism in England.

How, then, do the authors hold this group together? Helleiner says that neomercantilism forms a "third ideological position between economic liberalism and Marxism" (348). Neomercantilists ground economic progress neither in individual liberty nor in class conflict. Instead, like the mercantilists of the seventeenth and eighteenth centuries, they aim to "promote state wealth and power" (7). This formulation invokes Jacob Viner's classic shorthand for mercantilism's dual objective.³¹ If one follows Helleiner, the old and the new mercantilism form a single lineage, differentiated by a chronological marker of minor consequence: after the publication in 1776 of *The Wealth of Nations*, anyone harboring protectionist instincts felt obliged to refute Adam Smith.

This overlooks, however, a key difference between the dynastic mercantilisms of the early modern period and the economic nationalisms born of the Age of Revolution. If you were to ask an eighteenth-century Prussian cameralist, he would tell you that state authority issues from the king and extends his power. The maritime mercantilism of the British and the French bound monarchs and the merchant companies they chartered into the type of cartel that Smith denounced. For nineteenth-century nationalists, in contrast, it was axiomatic that the state sourced its power and legitimacy from the people. There is considerable distance between the maxim ascribed to Louis XIV—"l'état, c'est moi"—and the "people's principles" of Sun Yat-sen. Sun had this to say on the matter: "When we have a republic, who will be king? The people, our four hundred millions, will be king."³² Ranade, incidentally, insisted that the point of nationalism was "not any particular advantage to be gained in power and wealth" but the collective rejuvenation that flowed from India's reforms.³³

Suesse too speaks of a "nationalist tradition in economics" (1) but defines it differently. All economic nationalists, he says, pursue two objectives: they seek to detach the national economy by restricting exchange with global markets—the "isolationist motive." At the same time, nationalists see growth, development, and industrialization as key determinants of national strength—the "expansionist motive." These two motives, Suesse submits, are at odds: growth requires exchange with the world and

³¹Jacob Viner, "Power versus Plenty as Objectives of Foreign Policy in the Seventeenth and Eighteenth Centuries," *World Politics* 1/1 (1948), 1–29.

³²Quoted in Bergère, *Sun Yat-sen*, 371.

³³Mahadev Govind Ranade, *Religion and Social Reform: A Collection of Essays and Speeches* (Bombay, 1902), 248.

is incompatible with autarky. Economic nationalism confronts an intractable goal conflict: the “nationalist dilemma.”

Suesse’s formulation highlights a core problem for economic nationalists: competitive development indeed requires engaging with global markets, because industrial upgrading presupposes technology transfers from abroad. A quandary confronting all developing nations has been how to finance these transfers: through exports, which can be hard to sustain, or through hard-currency loans, which may lead to debt dependency? The resulting choices, however, have varied vastly. The young United States resorted to industrial espionage.³⁴ Stalin’s Soviet Union expropriated the peasants and used their grain to pay for American machines.³⁵ Japan and South Korea required foreign investors to teach technology and impart expertise to domestic engineers.³⁶ Latin Americans invited US corporations to help build domestic industries.³⁷ And so on. Overall, developing nations have engaged partially and strategically with global markets, and in the process they have sought to control and leverage, not sever, foreign economic relations. Beyond a certain blood-and-soil fringe, therefore, it is questionable whether “isolation” has been a fundamental motive of economic nationalists rather than a derivative one. What appears to the free-trader as isolation is strategic policy to the mercantilist. In grounding economic nationalism in isolationism and autarky, Suesse defers too easily to a pat liberal view that sees international economic relations as a binary choice between freedom and restriction.

Take tariffs. While most economic nationalists have seen tariffs as indispensable for industrialization, they have generally offered a nuanced understanding of their role. List, often taken to be an arch-protectionist, acknowledged that tariffs imposed a cost, but this should be seen as an investment in the education of home industries. He insisted that tariffs be granted judiciously only to strategic sectors and phased out over time. Protecting agriculture, he thought, defeated the purpose of development. Sun Yat-sen argued that tariffs were a key function of political sovereignty: without the power to set duties, China was perversely “giving protection to foreign industries.”³⁸ Suesse actually puts the point succinctly: to Sun, tariffs “would regulate, not shut out, trade” and “foreigners would invest in projects managed by the state” (159). What is at stake for nationalists is state regulation and supervision, not a choice between openness and isolation. The question is not, foreign engagement or not? But, what kind of engagement?

A tradition is a set of ideas passed down generations. How do Helleiner’s three traditions—liberalism, Marxism, and nationalism—compare? What institutions and

³⁴Doron Ben-Atar, *Trade Secrets: Intellectual Piracy and the Origins of American Industrial Power* (New Haven, 2004).

³⁵Stefan Link, *Forging Global Fordism: Nazi Germany, Soviet Russia, and the Contest over the Industrial Order* (Princeton, 2020), 90–105.

³⁶Mark Mason, *American Multinationals and Japan: The Political Economy of Japanese Capital Controls, 1899–1980* (Cambridge, MA, 1992); Linsu Kim, *Imitation to Innovation: The Dynamics of Korea’s Technological Learning* (Boston, 1997).

³⁷See, for example, Helen Shapiro, *Engines of Growth: The State and Transnational Auto Companies in Brazil* (Cambridge, 1994).

³⁸Sun, *San Min Chu I*, 506.

practices have served as conduits? When Ranade mocked classical political economy as “schoolmen’s metaphysics,” he skewered the tradition’s moral-philosophical abstractions as much as the fact that it came down through classrooms and lecture halls.³⁹ Like other civil servants of the Raj, Ranade learned his economics from John Stuart Mill’s *Principles of Political Economy*, first published in 1848 and reissued through the 1920s. The political economists were practitioners as much as scholars—Smith a customs officer, Ricardo a stock jobber, Mill a clerk at the East India Company. But in the late nineteenth century, marginal revolution and mathematical formalization decisively reinforced the scholastic character of economic liberalism, which has since lodged itself in academic instruction and research. Liberals have drawn their self-assurance in good measure from the conviction that they are backed by science.

Marxism first flourished in the newspapers and evening schools of the European labor movements. It first entered the academy on the periphery: by the 1910s, Marx was read by Japanese scholars.⁴⁰ Early translations reached China from Japan (Mao Zedong moved to Beijing University in 1918 to join a Marx study group; it became the origin of the Chinese Communist Party). The Bolshevik Revolution fortified Marxism–Leninism in Russian higher education. The Western academy remained impervious to Marxism before the New Left took its parapets by storm. What constituted Marxist doctrine on international economics, however, remained a matter of debate. The leading lights of the Second International—Karl Kautsky, Vladimir Lenin—decried protectionism as ploy of imperialist rivalry and defended free trade in an idiom that could make them sound like liberals.⁴¹ Marxist dependency theorist Samir Amin, in contrast, argued that nations in the global South should delink from the world economy and pursue an “auto-centered development” that prioritized the equal distribution of the domestic surplus.⁴² In the real world, Communists in power have usually acted like nationalists and harnessed trade to larger economic goals. For the entirety of its duration, the Soviet state maintained a monopoly on foreign trade.⁴³

Before it was exorcized by neoclassical economics, neomercantilism too had a claim on the academy. In imperial Germany, so-called “lectern socialists”—the likes of Gustav Schmoller and Werner Sombart—justified protectionism for reasons of state. Even as liberal doctrine prevailed at Yale and Harvard, the American land-grant colleges established after the Civil War—think Cornell—taught agricultural sciences in the vein of the American school of political economy. In 1881 the iron magnate Joseph Wharton decreed that his namesake business school in Philadelphia should teach students how to elaborate “suitable tariff legislation” and foster America’s “industrial

³⁹Ranade quoted in Bipin Chandra, *The Rise and Growth of Economic Nationalism in India* (New Delhi, 1966), 711.

⁴⁰Gavin Walker, *The Sublime Perversion of Capital: Marxist Theory and the Politics of History in Modern Japan* (Durham, NC, 2016).

⁴¹Marc-William Palen, “Marx and Manchester: The Evolution of the Socialist Internationalist Free-Trade Tradition, c.1846–1946,” *International History Review* 43/2 (2021), 381–98.

⁴²Samir Amin, “A Note on the Concept of Delinking,” *Review (Fernand Braudel Center)* 10/3 (1987), 435–44.

⁴³On early Soviet debates over the state monopoly on trade see Richard Day, *Leon Trotsky and the Politics of Economic Isolation* (Cambridge, 1973), Ch. 4.

and financial independence.”⁴⁴ Rough ideological balance held in the academies of Latin America, where republican free-traders vied for students with nationalists who endorsed *fomento*, a muscular role for the state.⁴⁵

But more than its rival traditions, as Helleiner shows, neomercantilism has propagated itself through autodidaxis and lay appropriation. Comparatively disinterested in the exegesis of foundational texts, economic nationalists have avoided the fierce debates over doctrine that animate their ideological rivals. To the nationalist, there is no orthodox reading of List, only pragmatic ones. It is not hard to see why. Liberal economics originated among moral philosophers and is now the preserve of professors. The theoretical development of Marxism has been the work of a certain radical intelligentsia, as typified by Rosa Luxemburg or Amin. In contrast, the organic intellectuals of mercantilism have been practitioners, many of whom enjoyed considerable political influence: administrators, advisers, and members of the peripheral bourgeoisie. Consider finance minister Sergei Witte, who published a tract on List before orchestrating Russia’s railroad monopoly in the 1890s. Henry Carey was a publisher first, then a theorist, then a political adviser to Abraham Lincoln and his Secretary of State William Seward. The Romanian Manuel Manoilescu, best known for his anti-Ricardian *Theory of Protection*, had trained as an engineer.⁴⁶

Scientific legitimation accordingly plays a different role in each tradition. Liberals submit that economic argument requires mastering the formal tools of the discipline. In their view the history of economic thought is a record of scientific advance, in which errors are discarded and explanations improve. Marx, of course, presented the method of *Capital*—advancing through capitalism’s “appearances” and uncovering its “secret” laws of motion—as a scientific revolution.⁴⁷ Among economic nationalists, some have pursued scientific legitimation, while others have ostentatiously dismissed it. Possibly most ambitious was Henry Carey, whose three-volume *Principles of Social Science* (1857) inserted protectionist political economy into a comprehensive system of “laws of matter” governing society, physics, chemistry, and biology—a remarkable merger of positivist sociology, republicanism, and metaphysics. Then again, there was Bismarck, who told the Reichstag, “The abstract teachings of science leave me completely cold; I make judgments based on experience. I see that nations that protect themselves prosper and those that are open decline.”⁴⁸

Nationalists like to accuse liberals of pedantry and abstraction. List railed against Adam Smith’s “scholasticism, opacity, dissimulation and deception” and mocked German free-traders as out-of-touch mandarins.⁴⁹ Carey’s collaborator Erasmus

⁴⁴Hudson, *America’s Protectionist Takeoff*, 24–5.

⁴⁵Nicola Miller, *Republics of Knowledge: Nations of the Future in Latin America* (Princeton, 2020), Ch. 8.

⁴⁶Mihail Manoilescu, *The Theory of Protection and International Trade* (London, 1931).

⁴⁷On Marx’s scientific method see Michael Heinrich, *An Introduction to the Three Volumes of Karl Marx’s Capital* (New York, 2012), 29–38 and *passim*.

⁴⁸*Stenographische Berichte über die Verhandlungen des Deutschen Reichstags: 4. Legislaturperiode, II. Session 1879*, vol. 2 (Berlin, 1879), 932.

⁴⁹List, *Das Nationale System*, xli.

Peshine Smith blamed the classical school for peddling “fictions, more or less plausible, of its own devising.”⁵⁰ An 1849 British pamphlet inveighed against the *Sophisms of Free Trade*.⁵¹ Vice versa, socialists and liberals charge that nationalist economics fails basic scientific standards. Marx poked fun at List’s “clumsy and verbose rhetoric,” which betrayed his deep ignorance of political economy. To Marx, List exemplified the “hollow, breezy, sentimental idealism” of the German bourgeoisie: in Britain and France, at least, the bourgeoisie wrought transformations of world-historical significance! Nothing of the sort could be said of List and his ilk, who groveled for favors from the state.⁵² German liberals lampooned List as an intruder from outside the discipline who “displayed little knowledge” of the system he was hoping to rebut. In his *History of Economic Analysis* (1952), Joseph Schumpeter mocked the American protectionists as “would-be theorists who disdained to learn the art of theorizing.” List, Schumpeter said, “made no original contributions to the analytic apparatus of economics,” while Carey “made negative contributions.”⁵³ Liberals remain fond of taunting protectionists with Ricardo, whose theorem of comparative advantage offered a demonstration of the superiority of free trade. Failure to concede Ricardo is considered proof of economic illiteracy. At the height of the millennial free-trade frenzy, Paul Krugman declared Ricardo’s theorem “utterly true, immensely sophisticated,” and derided List and his would-be followers as cranks who “just didn’t get it.”⁵⁴

Economic nationalism, then, is a heterodox tradition: it rejects the dominant creeds and has abandoned the lecture halls to them. Its theoretical ambitions, while considerable, derive from pragmatic, not doctrinal, concerns. It is also multifarious, less a crown of interpretations growing from a single stem than a vine of ideas insistently growing into the sun. As we saw, nationalists like List, Carey, Ranade, and Sun could arrive at similar policy positions from starkly divergent political and philosophical backgrounds. So is there, ultimately, an ideational core to economic nationalism?

The answer may lie in relating economic nationalism to a plausible account of how it emerged and why it persisted, globally. Fifty years ago, the British political theorist and New Left maverick Tom Nairn argued that nationalism originated in reaction to the cataclysms of global economic integration. Empire and capitalism at once connected the world and sundered it into starkly different levels of economic development. Pressed for a response, subaltern elites created a new form of politics: to counter liberal fictions of even integration into mutually beneficial circuits of trade and finance, the periphery resorted to fictions of national distinction, social unity, and collective empowerment. For all its myths of primordial lineages and cultural specificity,

⁵⁰ Erasmus Peshine Smith, *Manual of Political Economy* (New York, 1853), 15.

⁵¹ John Barnard Byles, *The Sophisms of Free Trade* (London, 1849).

⁵² See Karl Marx’s 1845 manuscript fragment on List’s *National System*, reproduced in List, *Das Nationale System*, 441–77, at 442–3. An English translation is available at <http://hiaw.org/defcon6/works/1845/03/list.html> (accessed 17 April 2025).

⁵³ Joseph Schumpeter, *History of Economic Analysis* (New York, 1954), 676, 517.

⁵⁴ Paul Krugman, “Ricardo’s Difficult Idea: Why Intellectuals Don’t Understand Comparative Advantage,” in Gary Cook (ed.), *The Economics and Politics of International Trade* (London and New York, 1998), 22–36, available at <https://web.mit.edu/krugman/www/ricardo.htm> (accessed 17 April 2025).

nationalism was in fact “imposed ... from without.” The destabilizing forces of uneven development, however, did not spare the European metropole, which, making use of state capacities that the peripheries lacked, created the supercharged nationalisms that proved so lethal in the twentieth century. Here was a way, Nairn proposed, to read in conjunction nationalism’s heroic registers—the anticolonial struggles and global South liberation movements—and its monstrous ones—the fascisms and ethno-exclusionary projects.⁵⁵

Nairn’s structuralist and materialist etiology of nationalism was not widely taken up during the scholarship boom of the 1980s and 1990s. But his arguments help make sense of the modern mercantilist project. A true rival to Marxism and liberalism, it was born, like them, at the historical juncture of European ascendancy and modern capitalist transformation. Nairn’s thesis explains why economic nationalism, its stridency muted during the neoliberal hiatus, surges again today as new cycles of uneven development assert themselves. It also suggests why economic nationalism, despite its ideological promiscuity, has revolved around a consistent set of theoretical commitments. Four of them stand out.

Emerging from the crucible of empire, first, nationalism harbors an understanding of global economic relations as irreducibly conflictual. Unlike liberals and more clearly than Marxists, nationalists recognize that differential development presents a foundational political challenge. Where does a polity stand in the rapid changes of economic geography, in the cycles of industrialization and deindustrialization, that have attended the last 250 years? Can a polity navigate, or is it flotsam, on the waves of comparative advantage, the growth and atrophy of sectors and occupations? Nationalists submit that these questions demand a response. Against the internationalist futurities held out by Marxism and liberalism, they posit that the challenge of uneven development cannot be deferred to a universalist resolution. The time horizon of economic nationalism is urgent; hence the activist impatience that is its hallmark. If nationalists have been obsessed with manufacturing, this is because they grasp that competitive industrialization upsets the hierarchies of the world economy. Industry, of course, entails military and geopolitical stature. But more than that, industry in the modern world has instilled skill, capital accumulation, and technological facility—“productive capacities” that confer the power to run your own economic affairs. What nationalists like to call “economic sovereignty” is a phrase that ties developmental outcomes to political self-assertion. “Commercial and manufacturing predominance naturally transfers political ascendancy,” Ranade observed.⁵⁶ As List saw it, a country exporting cash crops could never be truly sovereign but would perforce remain “economically and politically dependent.”⁵⁷

The contrast to nationalism’s rival doctrines is clear. Any principled economic liberal will deny that uneven development poses a problem: as Ricardo taught, specialization across nations will redound to everyone’s benefit. Competitive development, liberals

⁵⁵Tom Nairn, “The Modern Janus,” *New Left Review* 1/94 (1975), 3–29.

⁵⁶Ranade, *Essays on Indian Economics*, 186. See José Miguel Ahumada, “Bringing Freedom Back to Developmentalism: Industrialization as National Independence,” *Cambridge Journal of Economics* 47/6 (2023), 1037–56.

⁵⁷List, *National System*, 145.

say, is a waste of resources; most countries will be better off not industrializing and should continue to buy manufactured goods and technology from those who are better at making them. Marxists tend to subordinate the issue to their own *problématique*: disparities in development, they say, are a function of global capitalism, and correcting the former requires abolishing the latter. Thus Marxist dependency theorists debated development in the recondite idiom they preferred—Luxemburg’s theory of underconsumption, the reproduction schema from volume 2 of *Capital*, the tendency of the rate of profit to fall.⁵⁸ Searching for cracks in the world system, they left the practice of development to the unloved alliance of state and national bourgeoisie.

Second, conversely, Marxists have not been wrong to complain that nationalists obfuscate domestic social antagonisms. Because nationalists need to mobilize cohesive polities onto the world stage, they confect ideologies of social harmony. Keenly aware that global relations involve ineluctable political conflicts, they habitually disavow them at home. Nationalists argue that domestic economic inequality will be overcome by growth based on class cooperation. “To raise the position of all workers,” Sun said, “it is necessary first to raise the position of the nation.”⁵⁹ In his last lectures, Sun spent considerable time refuting Marx’s contention that class struggle drove history, asserting instead that “the principle force in human evolution is cooperation not conflict.”⁶⁰ In his *Harmony of Interests*, Carey attempted to show that protection would reconcile all Americans—workers, women, even “the slave and his master”—into an association of citizen sovereigns. As abundance increased, Carey and his followers proposed, humans would cease exploiting humans and increasingly turn to harnessing nature.⁶¹ Challenged on the destitution of textile workers, List exclaimed, “There are worse evils than a class of proletarians: an empty exchequer, national impotence, national servitude, national death”—an outburst that earned Marx’s ridicule.⁶² The chronicler of Indian economic nationalism, Bipin Chandra, acknowledged that Ranade “was completely silent on the misery of the laboring classes.”⁶³

If the goal of nationalists is to direct the course of development, third, their signature instrument is the state. Nationalists accord the state a positive dual role: it steers the economy onto desired paths, and in doing so enacts the will of the polity. More than simply representing, or reconciling, the interests of citizens, the state in nationalist discourse combines their forces. Carey’s collaborator Peshine Smith described the state as “an agency to promote and facilitate the association of the individuals by whom it is constituted.”⁶⁴ List’s state was a guarantor of “collective effectiveness.”⁶⁵ Ranade called

⁵⁸ Claudio Katz, *Dependency Theory after Fifty Years: The Continuing Relevance of Latin American Critical Thought* (Leiden and Boston, 2022).

⁵⁹ Quoted in Bergère, *Sun Yat-sen*, 365.

⁶⁰ Sun, *San Min Chu I*, 390–407; quote in Bergère, *Sun Yat-sen*, 384.

⁶¹ Henry Carey, *The Harmony of Interests: Agricultural, Manufacturing, and Commercial* (Philadelphia, 1852).

⁶² List, *Das Nationale System*, xlv.

⁶³ Chandra, *Rise and Growth of Economic Nationalism*, 356.

⁶⁴ Smith, *Manual of Political Economy*, 254.

⁶⁵ List, *Das Nationale System*, xv.

the state “the National Organ for taking care of National needs.” How the state should act, Ranade argued, was a question “of time, fitness, and expediency, not one of liberty and rights.”⁶⁶ The ease with which nationalists subordinate individual interests to public goals would make any true liberal uncomfortable. But as Peshine Smith pointed out, all human associations necessarily modulate and circumscribe the conduct of their members: “every organization implies this.”⁶⁷ Republicans like Carey, Smith, and Sun submitted that the state’s activities reflected the authority of the people to shape their common economic affairs.

Fourth, nationalists distinguish themselves through a strategic and instrumental approach to markets. The nationalist state is a shepherd of capital and shaper of markets. Sun wanted the state to take control of the functions that imperial powers were performing in China: managing customs, supplying currency, manipulating exchange rates, organizing transport, taxing foreign firms. Once economic sovereignty was achieved, the state would put private capital under public supervision in key sectors like railways and canals, silk and cotton, coal and oil.⁶⁸ In Sun’s view the state, as an extension of the people, would maintain ultimate fiat over investment patterns and the direction of economic change. Sun’s student Chiang Kai-shek brought an authoritarian version of this template to Taiwan, where a political economy emerged in which, as per one scholar’s formulation, the state governed the market.⁶⁹ Across post-war East Asia, nationalist approaches to markets became explicitly strategic: market mechanisms might be adopted partially or wholesale, prices dictated or massaged, capital allocated according to political goals. As the development scholar Alice Amsden put it, East Asian mercantilist measures—tariffs, subsidies, capital controls, and so on—manipulated markets in desired directions by deliberately “getting relative prices ‘wrong.’”⁷⁰

At a profound level, then, the three traditions may be said to diverge in how they assess the polity’s ability to deliberately shape economic change. Liberals believe that only the free pursuit of individual endeavors shall determine the course of progress—a view derived from the Scottish Enlightenment’s doctrine of unintended consequences, according to which private gain-seeking converges to greater social benefit. In the liberal view, economic cooperation happens blindly and without conscious design: an emergence, as Smith indelibly put it, led by an invisible hand. Marx too believed that a foundational blindness characterized human action in the here-today: in a capitalist society, everyone colluded to sustain the illusion that producing and exchanging commodities was the natural thing to do. As he said in *Capital*, humans did this “without

⁶⁶Ranade, *Essays on Indian Economics*, 32.

⁶⁷Smith, *Manual of Political Economy*, 257.

⁶⁸Bergère, *Sun Yat-sen*, 360–65; Sun Yat-sen, *The International Development of China* (New York and London, 1922).

⁶⁹Chiang Kai-shek, *China’s Destiny and Chinese Economic Theory* (London, 1947); Robert Wade, *Governing the Market: Economic Theory and the Role of Government in East Asian Industrialization* (Princeton, 1990).

⁷⁰Alice Amsden, *Asia’s Next Giant: South Korea and Late Industrialization* (New York and Oxford, 1989), 139.

being aware of it.”⁷¹ Clearing up this lamentable state of affairs, however, required nothing less than a world-historical reversal.

In contrast, there is something enabling to the wager, present in many nationalist arguments, that the economy is subject neither to the ineffable spontaneity of individuals nor to the pigheadedness of capital. Fashioning ambitious and transformative economic change does not need to await the revolution. Comparative advantage can be engineered; the direction of economic progress and technological improvement are matters of public deliberation and action. The triumph of neoliberalism, it has been suggested, entailed a pervasive loss of confidence in the modern promise that humans can consciously shape their collective future.⁷² One might add that this collapse of faith has engendered a deep suspicion of the state, on both the left and the right. The optimism with which economic nationalists embrace the state, and the pragmatic irreverence with which they treat markets, may serve as a corrective, perhaps an antidote.

Each tradition still bears the mark of its birth. Economic nationalism was born when the representational ideologies of the Age of Revolutions clashed with the development hierarchies of the nineteenth century. Economic liberalism still echoes an eighteenth-century moral philosophy that tied individual freedom to social progress. Marx sought to answer the social questions of nineteenth-century Europe but betrayed his materialism by adopting Hegel’s speculative notion of historical time. As a result, Marxism hangs on to the horizon of a transcendent resolution, a leap from history and the ineluctability of politics. To each tradition its myth: liberals sketched *homo economicus*, who submits to market society, strategizes in solitude, and calls it freedom. Marx gave us *homo faber*, the artisan species-being whose image preserves the hope that liberty and necessity may be reconciled. Against them nationalists, who assert that economy is subject to conscious direction, summoned *homo Prometheus*—the rebel of Athenian lore who stole fire from the gods to serve the people. Each of these captures an aspect of the modern condition.

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⁷¹Karl Marx, *Capital: Volume I* (London, 1990), 166–7.

⁷²Wendy Brown, *Undoing the Demos: Neoliberalism’s Stealth Revolution* (New York, 2015).